

# FTX & the Future of DeFi

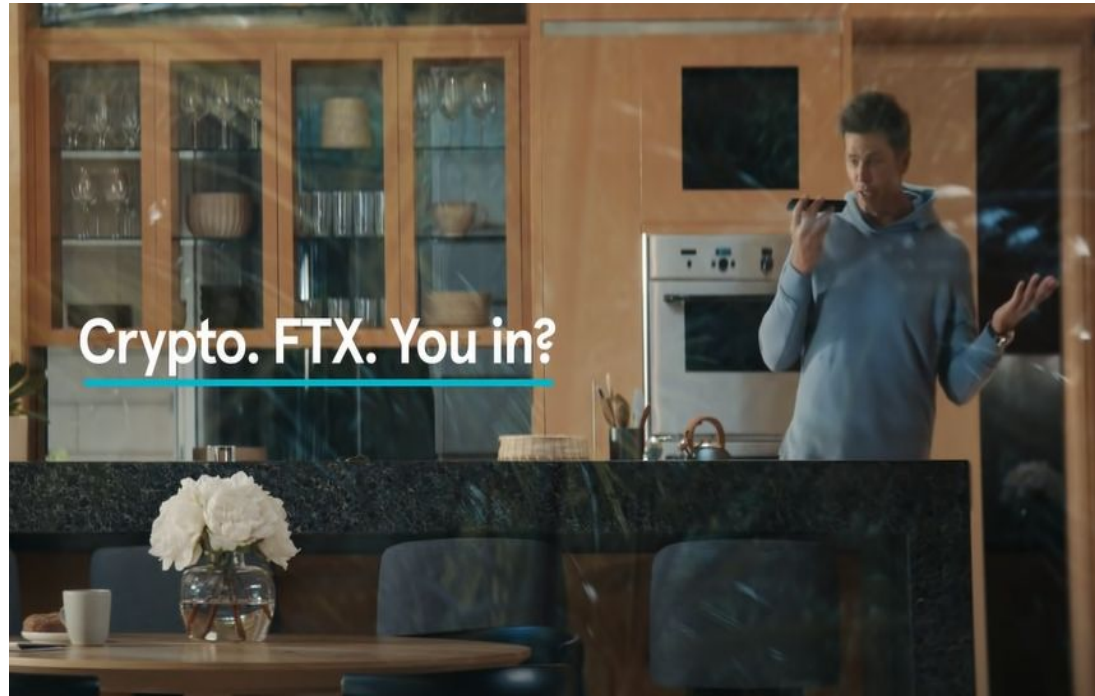
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- Fourth largest international crypto exchanges in the world
  - Major competitor: Binance
- Valued near \$32B in early 2022
- Alameda Research
  - SBF's crypto hedge fund
  - Sister companies with FTX



# The Rise

- Heavy investments in marketing
  - Miami Heat & FTX Arena
    - \$135 million deal
  - Ads with celebrities like NFL star Tom Brady
- Sequoia
  - Invested \$210 million in FTX



# Sam Bankman -Fried



# The Downfall

## Alameda Leaked Balance Sheet

Illiquid projects

FTT (FTX token)



## Changpeng Zhao sells FTT

Binance founder

To sell \$500 million of FTT

Bank run of withdrawals from the exchange



## Binance Bail Out

SBF claims that "FTX is fine" and customer assets are backed 1:1

Soon, CZ announced non-binding LOI to bailout FTX



## Retraction

After due diligence, Binance backed out finding >8b gap in liabilities and assets

## FTX Exposed

FTX filed for Chapter 11 Bankruptcy  
Hedge fund and investor assets are frozen  
VC firms mark investment in FTX to 0  
Investigations

CZ



# FTX Balance Sheet

- \$5.9B FTT / \$5.4B SRM pre crash
- \$553M FTT / \$2.2B SRM post crash
- Their assets list mostly their own tokens
  - Not only difficult to liquidate
  - It is as if investment bank gave out a loan and accepted their own stock as collateral
  - Not even accurate valuation
    - Diluted market cap figures
- So where did the money go?

What probably happened:

- Alameda lost money during crypto downturn in the spring / summer
  - Faced lender calls and required liquidity
- Or wanted capital to invest with low valuations
- Transferred ~\$10B FTX customer funds to Alameda
- CoinDesk report / CZ tweets resulted in bank run → not enough assets or liquidity to cover withdrawals
- Price of FTT and SBF associated tokens spiral

# Implications & The Future of DeFi and Crypto



# Implications

## Regulation

Urgency to create more federal regulation

## Adoption

Slowdown of traditional bank involvement Increased skepticism and willingness to accept

## Investment

Institutional investors are souring on crypto's ability to go mainstream

## Credibility

Credibility of DeFi itself - interviews with SBF show him describing a Ponzi scheme when talking about yield farming

## Skepticism

Regulatory skepticism - calls for investigation into SEC and other regulators over handling of FTX

- Coinbase is focused on differentiating itself from other exchanges like FTX
  - They want to maintain customer trust
- They are focused on their status as an American publicly-traded company
  - Balance sheet is transparent and audited
  - Customer deposits are back 1:1

The Coinbase logo is displayed on a solid blue rectangular background. The word "coinbase" is written in a white, lowercase, sans-serif font, centered horizontally and vertically within the blue box.

coinbase